That70s Da

Content Repository - every article, in date order, full text

I've been lucky, I've been burned, I've learned - now I'm giving back.
Hard-won lessons on tech, markets, leadership. Not financial advice.

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I'm born in the 70s. Working since the 90s.

TUESDAY, OCTOBER 13, 2026

Substack

I'm born in the 70s. Working since the 90s.

I wrote code that ran deep inside operating systems before most people had email. Then came the web. Then the cloud. Then data. Now AI.

One career, five eras, and I've been building in every one of them.

Markets taught me on a parallel track. The dot-com boom and bust. 2008. The COVID crash. Tariff shocks.

I've been lucky. I've been burned. I've paid tuition, sometimes a lot of it.

Now I want to give some of that back.

Why I'm here:

Most people who'd get the most out of these lessons don't have time for them. Nurses. Teachers. Small business owners. Engineers who never took a finance class.

You don't need more jargon. You need someone who's been through a few cycles to say: here's what matters tonight, here's what's noise, and here's what I wish someone had told me in 1999.

What you'll get:

• A short read on the evening before market days. Plain English. Numbers over adjectives.

• Era comparisons. "Here's what this reminds me of."

• Two readers, one market. I built a small system at home that reads the market every evening, two ways. One reader sticks to the numbers: prices, the fear gauge, borrowing costs, how many stocks are joining in.

The other reads the news and the calendar. When they agree, I relax. When they split, I pay attention. I'll show you both, every time.

• What I learned the hard way, so you don't have to.

What you won't get:

No stock picks. No buy or sell calls. No hot tips, no guarantees, no politics, no hype. I'm not a guru and I'm not your advisor — just more gray hair and more receipts.

My bias, up front, so you can discount it:

I think AI is driving an economic boom, and we're in the second inning. Not the ninth.

But booms don't go up like escalators. They go up like stairs, and a few of those stairs feel like falling. My job here is to tell you when a stair is just a stair, and what would turn one into a cliff. Hold me to it.

Three lenses: technology, money and life. They're the same lessons wearing different clothes. Most money mistakes I've made weren't math mistakes. They were patience mistakes.

First real test is already on the calendar: an inflation report at 8:30 ET tomorrow, with the market at a record high and most stocks not joining the party. I'll walk through it before the bell.

Not financial advice. Never will be. Just a guy who's ridden a few of these.

— That70s Da

Record high. Thin crowd. A test before breakfast.

TUESDAY, OCTOBER 13, 2026

Substack | Podcast episode | YouTube

Record high. Thin crowd. A test before breakfast.

First real one. As promised.

You know my bias from the intro: AI-driven boom, second inning, stairs not escalators. Tomorrow morning brings one of those stairs.

The S&P 500 is at a record high. The number I care about more: today, only 38% of the 468 stocks I track went up. 177 of them.

A record, with most of the market not showing up yet.

I've seen this movie. Twice. Different endings.

Fall 1998. The internet boom was real. A handful of big names carried the market.

Then a Russian default and a hedge-fund blowup knocked the S&P down about 19% in three months.

It felt like the end. It wasn't. The market finished the year up more than 25%, and the boom ran for more than another year.

Spring 2000. Same narrow market, same "this time is different." That one was the end, for a while.

What was the difference? Not how narrow the market was. Interest rates. By 2000 the Fed had raised rates six times in a year. Money got expensive, and the stairs turned into a slide.

I was writing low-level code through both. I understood the technology. It took me two cycles to understand the money.

That's why I'm watching tomorrow.

What's under the surface:

An index is an average. Put nine regular people and one billionaire in a room, and the "average net worth" looks fantastic. That tells you nothing about the other nine.

So, the other nine:

• AI is still leading.

The big cloud companies, and the companies supplying power to their data centers, just moved into the market's leading group.

• What's cooling is the most crowded corner: some chip and memory stocks.

That looks like a breather, not a break.

• Energy is the other leader. That's oil talking.

• 8 of 11 sectors are improving but haven't caught up yet.

That's what the rest of the class showing up could look like.

• The fear gauge (VIX) is around 15. Calm.

• Corporate borrowing costs are calm too.

That's the one I watch hardest. Booms usually crack there first, and I don't see cracks.

The test: 8:30 ET tomorrow.

The September inflation report (CPI) comes out before the market opens. Previews I've read expect around 3.6%, up from 3.4%.

Betting markets give roughly 1-in-5 odds the Fed raises rates at its Oct 27–28 meeting. Rate cuts are priced near zero.

The plain version: hotter inflation → higher rates → future profits are worth a little less today → fast-growing companies, including the AI names, wobble first.

Same lever as 2000. Nowhere near 2000's setting. But it's the lever that matters.

Two readers, one market.

On the long game, my two readers agree: no stress in the plumbing, AI still leading.

For tomorrow, they split:

Numbers-only: "Quiet day, roughly ±0.6%."

News-reading: "There's a report before the bell. Wider range, −1.2% to +0.8%, leaning down."

Neither one is wrong. That's the whole lesson. You can be right about the decade and still have no idea about tomorrow.

What I learned the hard way, so you don't have to:

Write your long game down. Mine: AI boom, early innings. When a scary day comes, the day has somewhere to land.

A pothole isn't a cliff. In 1998 and 2000, the market was narrow both times. What told them apart was interest rates and borrowing costs, not the headline number.

Count the crowd. A boom gets sturdier when the rest of the market joins the leaders. Watch for that over the next few months.

Don't bet the house on a scheduled coin flip. You know when the number lands, not what it is. Decide before 8:30 what a hot print and a cool print would change for you. For a long-term view, the honest answer is often "not much."

I'm optimistic about the decade. I'm humble about tomorrow.

Not financial advice. My bias is mine, and nobody gets guarantees. Just a guy who's ridden a few of these.

— That70s Da.

Friday’s alarm

SATURDAY, OCTOBER 17, 2026

Substack | Podcast episode | YouTube

A friend texted me over the weekend. No greeting, just: “Is Friday a big deal or not?”

Fair question. I’ve been chewing on it since, because my two readings of the market disagree with each other, and I don’t like it when they do.

Here’s Friday. The S&P 500 fell 1.1% to 7,659. The Nasdaq, where the AI-heavy names live, fell 2.1%. The Dow slipped just 0.3% — so the damage sat in one crowded corner while the older, slower names held up fine. The VIX, the fear gauge, spiked above 22 during the day — its highest in four months — before settling at 19.99, up more than a fifth on the day. Oil jumped: the American benchmark settled above $101, Brent near $110, after more attacks on ships near the Strait of Hormuz. And the import price report showed prices up 1.1% in a month and 8.1% over the year, with the increase spreading beyond fuel.

Now the split. Every evening my little home-built system reads the market two ways — once sticking to the numbers, once reading the news and the calendar. The numbers-only reader looks at the trend and the drawdown and says: choppy, but intact. The news-aware reader looks at Friday and says: risk-off, flat out. I think they’re both telling the truth tonight, and that’s what bothers me.

Think of it as a smoke alarm. Sometimes it goes off because you burnt the toast. Sometimes the kitchen is actually on fire. The alarm sounds identical either way — the whole skill is walking to the kitchen and looking. Friday was an alarm.

The toast theory: this was a positioning flush. The AI stocks had run hard, a lot of people were leaning the same way, and a rough week got worse on a hot inflation report. Factory output rose 0.7% in September, so the economy itself isn’t buckling.

The fire theory has better evidence than I’d like. Of the stocks I track, only 37% went up on Friday, and just 43.3% sit above their 200-day average — a polite way of saying fewer than half the field is in a healthy uptrend. Borrowing costs for weaker companies have been creeping up, and in my experience that’s where real trouble shows itself first.

I went back to October 1998 for perspective. Russia had defaulted, a big hedge fund had blown up, the market fell nearly 20% from its summer high, and the fear gauge spiked well above where it sits now. I was deep in the work of that era, and I remember how final it felt. Then the Fed cut rates, credit calmed down, and the market was back near its highs within months. Compare that with 2022, when oil and inflation were the whole story and the Fed kept tightening into it — stocks fell for most of the year. How scary the first week looked told me nothing about which was which. What separated them was whether the credit market stayed open and whether central bankers were free to ease or stuck fighting prices. Right now, oil and inflation look more like the 2022 setup. Credit looks more like 1998: strained, but still open. I could be wrong about how much weight each deserves.

As for Monday: the numbers-only reader sees the S&P somewhere between 1.3% down and 0.8% up. The news-aware one leans lower, 1.6% down to 0.7% up. Neither is a prediction. They're a way of saying the weekend headlines out of the Gulf could push the day either way.

On my list for Monday: whether the fear gauge stays above 22, whether oil holds near $110, and whether the companies borrowing to build AI capacity start paying noticeably more to do it. What would change my mind toward the calmer reading: the Nasdaq climbing back to about 26,700 — roughly where it stood Thursday — while the fear gauge slides back under 19. What would change it the other way: a second ship attack, and a credit market that stops being merely strained.

Not financial advice. Just someone who has smelled smoke before and learned to go look.

— That70s Da.

Grading my own homework

SATURDAY, OCTOBER 17, 2026

Substack | Podcast episode | YouTube

Saturday is homework day. It's the least glamorous part of this whole project and probably the most useful. Each evening my two readers of the market — one that sticks to the numbers, one that reads the news and the calendar — write down a range for the next session. Then the market goes and does whatever it does, and I compare.

Here's the week. Counting the S&P 500, the numbers-only reader landed inside its range on 2 of 4 scored days and got the direction right on 2 of 4. The news-reading reader landed inside on 3 of 4 and got the direction right on 3 of 4. Tuesday doesn't count for either of them — the price bar looked suspect, identical to the day before, so I'm calling it "no read that day" rather than guessing. For the Nasdaq-heavy measure, both readers were inside their range on 3 of 5 days.

The most instructive miss was Friday. The numbers-only reader expected the S&P 500 somewhere between −0.9% and +0.5%, and the news-reading reader expected −0.8% to +0.6%. The actual move was −1.1%. The Nasdaq-heavy measure fell 2.55% against ranges that stopped around −1.4%. Both readers saw a shaky tape, and both got the Nasdaq direction right — but neither believed it could be that big, because nothing in the previous days looked like a push that hard.

It reminds me of a commute estimate. Your phone says 25 minutes, give or take ten, and for months that's right. Then a bridge closes and the real answer is 70. The estimate wasn't lazy — it just came from days when the bridge was open. In March 2020 I watched ranges of a point or so turn into a joke when the index fell about 12% in a single day. Friday was nowhere near that. But it taught the same thing: a range describes the quiet days well and the loud ones badly, and the loud ones are where it matters.

For Monday, the numbers-only reader has the S&P 500 between −1.3% and +0.8%, and the news-reading reader has −1.6% to +0.7% — both wider than their usual average. Weekend headlines about oil and shipping near the Strait of Hormuz are the swing factor, and I can't forecast those. What I'm watching is the fear gauge, the VIX, which sat around 20 on Friday, and whether it pushes through 22 toward 25. What would change my mind about the shaky read: the fear gauge falling back under 19 while the AI-related stocks stop sliding.

The lesson I keep relearning: a forecast tells you how wide to draw the lines. It never tells you where the car ends up.

Not financial advice. Just someone grading his own homework in public.

— That70s Da.

Reading the dashboard

SUNDAY, OCTOBER 18, 2026

Substack | Podcast episode | YouTube

Think of the market as a car you're riding in, and my stress score as the dashboard. The overall reading is 3.14 on a 0-to-10 scale, where higher means more stress. That's closer to a calm drive than a skid — but Friday was bumpy, so let me go through the gauges one at a time.

The loud one is the fear gauge, the VIX — how much traders are paying to insure against big swings. Think of it as the tachometer: the engine can rev without anything being broken. It closed Friday at 19.99, higher than about 82% of the readings I have on file, though my score for it is only 1.79. So by itself, not alarming. Calm looks like the low teens. Stressed looks like 30 and up. We're in the middle, and we got here fast.

Credit is the oil pressure light. It tells you whether companies can still borrow comfortably, and in my experience it's the gauge that speaks first when something is really wrong. Safe, high-quality companies pay 0.84 points over Treasuries; riskier ones pay 3.23. My dashboard labels that "stress" while scoring it a very low 1.02. I don't love a mixed message from the one gauge I trust most. Over the last five days, a fund of risky bonds slipped 0.47% while safe government bonds rose 0.99%.

The yield curve is the fuel gauge — how much runway the economy has. Ten-year Treasuries yield 5.09%, two-years 4.74%, so the long end pays about 35 basis points more. Calm is long paying more than short. Stressed is when it flips upside down. It hasn't.

Then there's breadth — simply how many passengers are in the seats. Only 173 of the 468 stocks I track went up on Friday, about 37%. The index can look like a full car while most of the seats are empty.

So the gauge doing the most talking is the fear gauge. The one quietly saying something different is breadth. And credit is the one I'm watching for confirmation. A roaring tachometer with healthy oil pressure is a bad afternoon. A roaring tachometer with the oil light flickering is a different story.

For history: in the summer of 2007, junk-bond spreads started widening while stocks kept climbing to a record that October. Nothing says that repeats — and plenty of scary tachometers have been followed by nothing at all.

Friday I wrote about a smoke alarm going off. Over the weekend, someone opened the kitchen window: Trump claimed the US is having "productive discussions" with Iran, Tehran denied any talks at all, and oil gave back part of its spike. So the alarm stopped ringing — or someone just muffled it for the weekend. I've seen this whipsaw before. The headlines move fast; the strait moves slow. Watch the strait, not the price.

What would push my score up: the VIX holding above 22 or so, credit spreads widening further, or oil climbing again on a fresh headline. What would bring it down: breadth recovering and the fear gauge cooling back toward the teens. My two readers — one on the numbers, one on the news — both lean cautious for Monday. The numbers-only one sees the S&P 500 somewhere between −1.3% and +0.8%. A range, not a prediction.

I don't know which way Monday goes, and neither does anyone else. I'm watching the oil pressure light. If it stays off, I'll relax a little. If it comes on, I'll change my mind fast.

Not financial advice. Just a guy reading the dashboard out loud.

— That70s Da.

Ten links in one chain

MONDAY, OCTOBER 19, 2026

Substack | Podcast episode | YouTube | X thread

Most of what I read about AI spending treats it as a single blob that goes up or down together. It isn't. It's a chain, and chains break at a particular link. So let me walk down mine, one link at a time. These are my system's reads of public data — not predictions.

Start with what the chain is. Somebody builds an AI app. It runs in a big cloud. The cloud needs chips, servers, memory, cables to tie the machines together, a factory to make the chips — and then power and cooling to keep a warehouse of hot computers from melting. Ten links in all. My tracker scores each one from 0 to 10, and the whole chain reads 6.2. I label that stable.

The strong end first. The renters of graphics-chip time — the so-called neoclouds — score 8.4, with revenue up 283% from a year ago. Memory scores 7.4, revenue up 202%. Servers are up 71%. Those are not normal numbers, and I'd be lying if I said they didn't get my attention.

Now the part that keeps me from cheering. In every one of the ten links, the price the market pays per dollar of sales has fallen. For the neoclouds, that's down 15.3%. So revenue is exploding and investors are paying less for each dollar of it. That's the market saying it wants proof the growth lasts — a very different message from "everything's fine." It fits a week where AI-related names fell about 14%.

The weakest link on paper is power and cooling: 5.8, revenue up a modest 17%, and my tracker flags that its price and revenue aren't moving in step. Nobody gets excited about cooling — until the building is too hot to turn on.

But the link I'd watch most is the neoclouds, and that's the awkward bit, because they also look strongest. They're the most sensitive to supply shocks, and their growth leans on borrowed money. This week the market put a hard number on that worry: CoreWeave's bonds traded down to 77 cents on the dollar, yields topping 15%, and the cost of insuring its debt against default hit a record — around 1,100 basis points. That's the credit market saying it sees real risk, with about $52 billion of debt and leases on the books. Jensen Huang felt the need to say out loud that "Nvidia does not need to backstop CoreWeave." When the biggest chipmaker is denying a rescue nobody officially proposed, lenders are already nervous. Gartner's latest guess is that 80% of neoclouds won't still be standing on their own by 2030. If that nervousness spreads, the fastest-growing link is the first to feel it — and everything upstream hears about it soon after.

I keep going back to the late 1990s, when the world laid far more fiber-optic cable than anyone used. The internet was real, the demand was real, and plenty of that glass sat dark for years anyway. Compare that with the cloud build-out of the early 2010s, which also looked expensive and also saw valuations shrink while revenue grew — and which turned out fine, because customers kept showing up to pay. What separated them, as far as I can tell, was whether the buyers could pay without borrowing. I can't tell you which one this is. I'm still chewing on it.

The bull case: demand is real, revenue is high everywhere. The bear case: the market is already discounting it, and the money behind the fastest link is borrowed.

What I’m watching: the GPU-rental companies’ borrowing costs — which, as of this week, are no longer staying put. What would change my mind: those costs calming back down, which would make me less cautious — or lenders pulling back further, which would make me far more so. A calm stretch with revenue still growing would help too.

Not financial advice. Just a chain, and a guy checking its links.

Prefer to listen? The audio version is here: https://that70sda.substack.com/p/ten-links-in-one-chain-432

— That70s Da.

One green day after eight red ones

MONDAY, OCTOBER 19, 2026

Substack | Podcast episode | YouTube | X thread

The chip index finally went up today. After eight losing days in a row, it gained about 1.6%, the Nasdaq rose 1.11%, the S&P 500 added 0.41%, and the Dow slipped 0.07%. If you only looked at the Nasdaq you'd think the storm had passed. If you looked at the Dow you'd think nothing happened. Each of those is an accurate picture, and the gap between them is the first clue that today was narrower than it felt.

There's a second clue. Of the stocks I track, only about 31% advanced. So a loud rebound in one corner of the market, led by AI-related names, and a quiet shrug from most of the room. Oil also rose about 2% after Houthi forces claimed more attacks on Saudi targets, which is the kind of background noise that doesn't care what the chip stocks did.

My small home-built system reads the market two ways every evening, and tonight they disagree in a way I find useful. The numbers-only read calls tomorrow neutral, with a range of roughly -0.8% to +0.7% for the S&P 500. It sees my stress score at 3.9 out of 10 and a thin crowd, and it basically says don't chase. The news-aware read leans a little bullish, roughly -0.9% to +0.9%, because a streak that long snapping is the sort of thing that often gets a second day of buying, and the fear gauge, the VIX, is only around 18. It also gives its own main scenario less than even odds, 45%, so it isn't exactly shouting.

Notice that the ranges are nearly the same width. The disagreement is about the lean, not the size of the swing, and I think that's the honest answer: neither of them knows. Which way tomorrow breaks is not something I can tell you, and I'd be wary of anyone who says they can.

What I can do is tell you about two rebounds I remember. In 2002, after the dot-com wreckage had dragged on for two years, there were several sharp rallies that looked like the bottom and weren't. I was sure about at least two of them, and I was wrong both times. Then in October of that year came one that looked no different on the day and turned out to be the real low. The difference wasn't visible in the first week. It showed up later, in whether companies could keep borrowing and whether the bad news stopped getting worse.

And then there's August 2024, when a sudden unwinding of a popular trade knocked the market sideways, and the first bounce partly gave way before things settled. Same shape, different ending, and nobody could have told them apart from a chart on the first green day. What separated them was what came after: earnings, credit, and whether the crowd widened.

That's why I'm treating tonight as a question rather than an answer. Meta and Tesla report this week, and the market has leaned on big technology names to carry the whole index for a long time, so how those go will tell us more than one bounce can. If the rebound is real, I'd expect the share of stocks advancing to creep up from 31% rather than the same few names doing all the work.

For tomorrow my list is short. Whether chips get a second up day. Whether the VIX stays below 20. Whether borrowing costs for the AI builders stay calm, because trouble tends to show up there first. And whether oil keeps climbing, since a spike would make everything else harder.

What would change my mind is simple. If the share of stocks advancing climbed well past a third while the earnings reactions stayed calm, I'd read this as a real turn and say so. If chips gave back the whole bounce on a day with no news, I'd take that more seriously than today's gain.

Until then, decide tonight what you'd do if tomorrow is a big green day and what you'd do if it's a big red one, and write it down. It's far easier than deciding in the moment.

Not financial advice. Just someone who has bought a few bottoms that weren't.

Prefer to listen? The audio version is here: https://that70sda.substack.com/p/one-green-day-after-eight-red-ones-ab5

— That70s Da.

Fixing my chain post

TUESDAY, OCTOBER 20, 2026

Substack | Podcast episode | YouTube | X thread

I got part of the chain post wrong.

In that post I walked down the AI supply chain one link at a time and told you which link worried me. Two things in it don't hold up, and I'd rather tell you myself than hope nobody noticed.

Some background first. The tracker I use to score those links is something I built at home, and over the weekend I found a few bugs in how it added things up. Anyone who has shipped software knows the feeling: the machine was fine, but the gauge on the wall was lying a little. I fixed the gauge and reran the numbers.

The first mistake was calling the GPU renters, the so-called neoclouds, the strongest link. Their revenue really is up 283% from a year ago; that part hasn't changed. But the analysts who cover them have cut their estimates for next quarter's earnings by 15% over the last 90 days, and once the tracker counts that, their demand score drops to 6.3 out of 10. Sales racing ahead while expected profits shrink is not what I should have called strong.

The second mistake was the line about investors paying less for each dollar of sales in every single link. That figure came from a day-to-day wiggle, and a real trend needs about 60 days of history, which I don't have yet. So I can't tell you the market is marking the whole chain down. I simply don't know, and I said it like I did.

Here's what stands, and it actually got sharper. My worry in that post was the GPU renters, because so much of their growth runs on borrowed money. Now the people paid to model their profits are trimming too. Two different crowds getting careful about the same link is more than I had to go on three days ago.

The healthiest link today is the server makers, with a demand score of 9.8 and next-quarter earnings estimates raised 36% over those same 90 days. Power and cooling is still the thinnest, revenue up 18% a year. And the only link where the big cloud companies' spending plans clearly line up with real demand so far is the chip designers.

In the years I spent around big systems, the outages that hurt most were the ones a green dashboard hid for a while. A tracker that tells me when it was wrong is worth more than one that claims it never is, because that second kind doesn't exist.

So the corrected picture: the link I'd watch is the same one, the reason to watch it is a bit stronger, servers look sturdiest, power and cooling look thinnest, and I owe you a proper read on prices once I have two months of real history.

Not financial advice. Just a guy who'd rather fix his math in public.

Prefer to listen? The audio version is here: https://that70sda.substack.com/p/fixing-my-chain-post-71a

— That70s Da.

Who’s running in front tonight, and who’s quietly turning

TUESDAY, OCTOBER 20, 2026

Energy is out front, tech is at the back - and one green Monday does not redraw a map measured in weeks.

Substack | Podcast episode | YouTube | X thread

Yesterday got away from me a bit - work ran long, and the posts landed in the evening instead of on schedule. Back on the clock today.

Picture a long race with a hundred runners. The scoreboard I use for money flows sorts every sector and theme into one of four boxes. Leading means you’re ahead of the pack and still pulling away. Weakening means you’re still ahead but slowing down. Lagging means you’re behind and still losing ground. Improving means you’re behind, but you’ve started to close the gap. Two numbers decide the box: how you’re doing against the field, where 100 means keeping pace, and whether that is getting better or worse.

Here is tonight’s race. Energy is out front with a score of 120, the strongest of all the sectors, and oil and gas as a theme scores about the same. Health care is next at 117.4, and it only just got there, having been in the Weakening box not long ago. Consumer staples, the groceries-and-toothpaste crowd, sits at 110.8. One AI theme is also listed as leading, the big companies that buy all the computers. Look closer, though. Its strength score is 109.8 but its momentum is only about 101, so it’s a runner who got to the front and is barely moving.

At the back, technology as a whole is Lagging, with a strength score of 97.1 and momentum of 87.5, the worst on the board. It was in the Improving box last time I looked, so it turned around and went the wrong way. Industrials fell from Leading all the way to Lagging, and the chip, data-center and AI-power themes are back there too, with the computing-power renters weakest of all at 73.7.

Which is odd, because Monday the chip index finally snapped an eight-day losing streak. A green day is one day. The map is measuring weeks, and the weeks still look the way they looked before the bounce.

One quiet mover: consumer discretionary is listed as going from Lagging to Leading, but its strength score is only 100.5, so I’d call that unconfirmed.

A map like this tells you where money has been flowing, not where it goes next. A leader can be crowded. A laggard can be cheap for a good reason, and sometimes the reason is that the business is getting worse.

The rotation I think about is value over growth in 2000 and 2001. Money left the dot-com darlings for dull, profitable companies, and it lasted because the darlings’ profits never showed up. People sometimes ask whether there was an early warning, a brief old-economy run in early 2000 that reversed. I remember the argument more than a clean signal. What told the real rotation apart, when it came, was whether the earnings underneath agreed with the price. I can’t prove tonight is either one.

So here is what I’m watching. Whether the Lagging tech box starts to shrink as Meta and Tesla report this week. Whether oil keeps the energy lead alive. And whether health care holds above 110 once it’s no longer the new kid. What would change my mind about the defensive tilt is a few weeks of chips and software improving at the same time, not one good Monday.

Not financial advice. Just a map of where the money has been, and a reminder that maps get old.

Prefer to listen? The audio version is here: https://that70sda.substack.com/p/whos-running-in-front-tonight-and-4ab

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The guys who bolt the racks together

TUESDAY, OCTOBER 20, 2026

The healthiest link in the AI chain is the unglamorous one.

Substack | Podcast episode | YouTube | X thread

My bias first, so you can discount it: I think AI is driving an economic boom and we're somewhere in the second inning. Booms climb like stairs, not escalators, and this week has been a steep step down.

When I corrected my AI-chain post on Monday, one thing surprised me more than the mistake itself. The link that came out healthiest was the unglamorous one: the server makers, the companies that take everybody else's chips, memory and cables and bolt them into the racks the big cloud companies actually buy. The three I track in that link are Dell, Super Micro and Celestica. My tracker gives the group a demand score of 9.8 out of 10, the highest of the ten links.

Here's what sits under that score. Dell sold about $151 billion of stuff over the last year, with revenue up 58% from a year earlier, and analysts have raised their estimate for its next-quarter earnings by 79% in just 90 days. Super Micro grew revenue 93%, estimates up 36%. Celestica, the quiet contract manufacturer of the three, grew 62%, estimates up 21%. Three different businesses, all getting the same message from their customers.

That reminded me of the 90s. The excitement then was the chips and the software, and the people who assembled the beige boxes were treated as the boring middle. Their sales grew enormously anyway, because every dollar of the boom had to pass through a box before anyone could use it. The catch was how little of each dollar they got to keep.

Same pattern now. Out of every dollar of their own sales, these three keep somewhere between 11 and 20 cents as gross profit; Dell sits at the top of that range, Super Micro at the bottom. A chip designer keeps about 67 cents of every dollar it sells, a memory maker about 55. Different dollars, different businesses. The server makers are the general contractors of this boom, and contractors do well in a building spree on volume, not on fat margins.

My system reads their quarterly filings, not just their headlines, and one detail there matters. Super Micro is growing fastest, yet its free cash flow is running at about minus 18% of sales: it is spending cash faster than it brings it in to keep up with orders. Dell and Celestica are both cash-positive. Fast growth paid for with your own cash is a different animal from fast growth paid for with someone else's.

Then there's the price. The group fell about 17% in the last week while those estimates kept rising, and my tracker flags that price and revenue have stopped moving together. That can mean the market sees trouble the numbers don't show yet, or that everything AI-shaped got thrown out the same window. I honestly don't know which. One pattern I do lean on: over the last 16 earnings reports from the biggest AI chip designer, these server makers moved the same way on report day, about half as much.

What would turn this pothole into a cliff? The big cloud companies slowing their spending, and the GPU renters I worried about on Friday, who buy racks with a lot of borrowed money. If either flinches, the contractors hear it first. The next tell comes from the buyers themselves: the big clouds report over the coming days, and I will be reading their spending lines before their headlines.

Not financial advice. Just an old engineer who respects the people who make the hardware ship.

Prefer to listen? The audio version is here: https://that70sda.substack.com/p/the-guys-who-bolt-the-racks-together-9a2

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What the bettors think about the last ten days of October

TUESDAY, OCTOBER 20, 2026

Ceasefire 81.5%, oil-at-$105 34%, the Fed on hold 85.5% - what the betting crowd is really saying.

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A prediction market is a website where people put real money on whether something will happen, and the price of a "yes" share ends up reading like a probability. If bettors think an event is likely they bid the price up, and the price becomes the odds. It's a crowd's bet, though, not a fact, and crowds have been confidently wrong before, so I'll keep saying "markets are pricing" and "bettors give it" instead of pretending anyone knows.

Here's what's on the board tonight. The one that matters most is the US and Iran ceasefire holding through October 31. Bettors give it 81.5%, down about a point since Sunday. A separate market asks whether crude oil touches $105 at some point this month, and bettors give that 34%, up about a point since Sunday - though it spiked to 41% on Monday before falling back. Put those two side by side and you can read the story the crowd is telling: calm if the ceasefire survives, an oil jolt if it doesn't, and with oil spiking above $105 on Tuesday before settling back near $102, that side of the story is jumpy, not settled. The Fed market is the quiet one. No change in rates after the October meeting sits at 85.5%, down 2 points since Sunday. Last on my list, a military clash between NATO and Russia by the end of the month is priced at 8.5%, up 1 point, which is small but not nothing.

Now the part where I try to be honest about how much to trust any of this. A market with only a handful of bettors can swing on one person's mood, so thin volume makes a number look more meaningful than it is. The ceasefire odds worry me for a different reason: it's a bet on a window of about ten days, and a lot can happen in ten days. And odds go stale the moment the event resolves or the news breaks. A number that jumps around, like the oil one has this week, means somebody cared enough to trade. A number sitting still might mean the crowd agrees, or it might mean nobody is bothering.

The bull case is easy to state. The crowd thinks rates stay put and the ceasefire holds, which is the friendliest setup for a market that just had one green day after eight red ones. The bear case is just as easy. Roughly one in five on the ceasefire breaking is a real possibility, the oil bet already spiked and fell back inside two days, and oil has already been a headache this month.

The era I keep coming back to is late 2021. Traders and bettors priced very little in the way of Fed rate hikes for the year ahead, because inflation was supposedly "transitory." I remember nodding along. Then the Fed took rates from near zero to over 4% during 2022. The crowd wasn't stupid, it was anchored to what the last few years had looked like. A confident number is still a bet.

What I'm watching: whether the ceasefire odds start slipping before the month ends, whether the oil market moves more than a couple of points in a day, and whether the Fed number holds where it is. What would change my mind about staying calm is the ceasefire dropping well below where it sits now. I could be wrong about all of it.

Not financial advice.

Prefer to listen? The audio version is here: https://that70sda.substack.com/p/what-the-bettors-think-about-the-ee0

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Tuition Tuesday: when the stock falls and the business keeps rising

WEDNESDAY, OCTOBER 21, 2026

Revenue at the server builders is up 58 to 93%. Their shares just fell 17% in a week. Both things are true - and that is the lesson.

Substack | Podcast episode | YouTube | X thread

This was supposed to land on Tuesday. The week got away from me - a bit of travel, a bit of life - so Tuition Tuesday is arriving on a Wednesday. The lesson does not mind waiting a day.

Some lessons the market charges full price for. This one most of us paid in 2000, and plenty paid again in 2022.

Look at the companies that build the AI servers. On Monday I wrote about the folks who bolt the racks together - Dell, Super Micro and Celestica. Their revenue grew somewhere between 58% and 93% over the past year. Analysts raised next-quarter earnings estimates for the group by 36% in ninety days. And the shares? Down about 17% in a single week, and about 30% at the worst point from their peak.

So which one is lying, the business or the stock?

Usually neither. A share price is a guess about the next few years, made in a hurry by millions of people. Revenue is what already happened. When the two split, the price is often arguing with the future, and it isn't always wrong.

In 2000 a lot of good businesses kept shipping more every quarter while their stocks were cut in half. The growth was real. What broke was the price people had paid for it, and the worry that the buyers would stop buying. In 2022 it was rates: the same profits suddenly looked less valuable because money cost more.

Here the worries are easy to name. These companies keep a thin slice of each sale. Dell keeps about 20 cents of every dollar of its own sales as gross profit, Celestica about 12, Super Micro about 11. Super Micro is also burning cash to grow, spending roughly 18 cents more than it brings in on each dollar of sales. And the whole group depends on a handful of big cloud buyers who could slow their spending.

The tuition, as I'd put it:

- A rising business and a falling stock can both be true for a long time. Neither cancels the other.

- Ask what the price is worried about, then check whether the numbers back up the worry.

- Thin margins mean small surprises move the stock a lot.

I still think AI spending is building something real, and the server makers sit right where that money lands. That doesn't make the ride smooth. The shares are still up about 89% this year, after all of this.

What I am watching next: the big cloud buyers report over the coming days, and I will be reading their spending lines first - that is where this group's next chapter gets written. If that spending holds, a falling stock on a rising business starts to look like tuition somebody else is paying.

Not financial advice.

Prefer to listen? The audio version is here: https://that70sda.substack.com/p/tuition-tuesday-when-the-stock-falls-d96

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Two autumns with the same tell, and one of them ended well

WEDNESDAY, OCTOBER 21, 2026

1998 and 2007 both paired a calm surface with stress in the lending pipes. One was fixed by November. The other was the top. Tonight's numbers - a 5.15% 10-year, a 16.68 VIX, 42.3% breadth - rhyme wit

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A calm fear gauge sitting on top of a nervous bond market is not a new picture. I can think of two autumns that looked a lot like tonight, and they ended in very different places.

The first is 1998, and I told this half in Friday's alarm, so here is the short version. Russia had just defaulted on its debt that August, and a big, very clever hedge fund called Long-Term Capital Management had bet heavily that bond prices would behave, and they stopped behaving. For a few weeks the S&P 500 fell something like 19% from its summer high, and the people who lend money to companies suddenly wanted much more for the privilege. Then the Fed cut rates three times in about seven weeks, the big banks were nudged into a rescue of the fund, and the stock market was back at a record by late November. I was working in tech then and mostly remember how fast the mood flipped.

The second is 2007, and this half gets the full telling - the dashboard post over the weekend flagged its first page, junk-bond spreads widening while stocks kept climbing, and stopped there. In the summer, two Bear Stearns funds that held mortgage bonds blew up, and in August a big French bank froze some of its own funds because it couldn't price what was inside them. Stocks wobbled, the Fed cut in September, and the S&P 500 climbed to a new record in October. Nearly everyone relaxed. It turned out to be the top, and the real bill arrived about a year later.

Here is why I'm telling you this tonight. The pieces rhyme. The fear gauge, the VIX, is a quiet 16.68, which says nobody is paying much for protection. But only 42.3% of the stocks I track are above their 200-day average, so the index is being carried by a smaller crowd than the headline suggests. Every AI theme I follow is down over the past month, in a range of roughly 4% to 16%. And the 10-year Treasury yield is around 5.15%. Over the last five days, corporate bonds have lagged safe government bonds by about a third of a percent, which is small, but it's the kind of gap that tends to show up before the stock market notices. My notes also flag that companies that borrow heavily to build AI computing capacity are the ones feeling the higher yields first.

What's different is the exit door. In 1998 the Fed could cut, and did, because inflation was quiet. Tonight oil is near $98 and a 30-year mortgage is above 7%, so a rescue by lower rates isn't something I'd count on. To be fair, there's a bull case too. The Nasdaq jumped about 1% on Wednesday after a strong rocket-and-AI earnings report, trend and drawdown readings are still healthy, and the VIX isn't sending any alarm.

My two readers split again tonight. The numbers-only one calls it choppy and leans cautious. The one that reads the news and the calendar calls it neutral with a slight upward tilt. I think both are fair, and I don't know which way tomorrow goes. Neither does anyone else.

What told 1998 from 2007, as far as I can tell, was whether the stress stayed in the markets or leaked into the places that lend: the banks and funds that everyone else depends on. In 1998 it stayed out and got fixed. In 2007 it didn't.

On my own screen tonight, the thing to keep an eye on is that corporate-bond gap, where widening past about 0.6% would get my attention, along with the share of stocks above trend slipping under 40%, and the 10-year closing above roughly 5.25%. What would change my mind toward the calm view is the opposite: breadth climbing past 45% and the bond gap closing. I could be wrong about all of this.

Not financial advice. Just someone who has watched a couple of these tells play out both ways.

- That70s Da.

The one number I can’t stop looking at: 5.15%

WEDNESDAY, OCTOBER 21, 2026

Stocks rose, the fear gauge slept, and a strong SpaceX report did the cheering. The number that prices everything else - the 10-year Treasury yield - kept climbing.

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The one number I can’t stop looking at: 5.15%.

Stocks had a decent Wednesday. The S&P 500 rose 0.58% to 7,757.17 and the Nasdaq gained 1.05%, helped along by a strong quarterly report from SpaceX. Of the 467 stocks I track, 263 went up, which is 56%, so it wasn’t a one-name day. But the figure I keep coming back to sits somewhere else entirely: the 10-year Treasury yield, around 5.15% after edging up about three hundredths of a point on the day.

Here’s why a bond yield deserves a slow explanation. The 10-year is what the government pays to borrow money for a decade, and nearly everything else gets priced off it: mortgages, car loans, what a company pays on its debt. The mortgage number is the one most of us feel, and the weekly industry survey has the average 30-year rate at 7.41%, with applications to buy a home down again this week. When the “safe” return climbs, every risky thing has to promise more to compete, and the ones that promise their profits far in the future get marked down first. That’s most of the AI complex. Over the past month, the hyperscaler group I follow is down about 16% and the chip group about 12%, while the index itself looks fine. Just 42.3% of the stocks I track sit above their 200-day average, the line most people use to say a stock is in an uptrend.

When I read my dashboard out loud over the weekend, that yield sat at 5.09%. It has crept since, and the creep is the story, because I’ve watched a yield do this before, twice, and it ended differently each time. In 1994 the 10-year went from somewhere around 5.7% to nearly 8% in twelve months, the bond market had its worst year in a generation, and stocks mostly went sideways. Then 1995 turned out to be a very good year. In 1999 and early 2000 the 10-year climbed toward 6.5% and stayed there while the dot-com names kept soaring, until they didn’t. In both cases the yield rose a lot. What separated them, as far as I can tell, was whether companies were earning real money at the higher rates, and whether they needed to borrow more to keep going. I was in the thick of the second one, and I remember being sure the rate didn’t matter because the growth was so large. It mattered, just later than anyone expected.

So here’s the balanced version of tonight. The bull case: the fear gauge, the VIX, is about 16.7, calm, and the curve of its future readings slopes upward, which tells me nobody is paying up for crash protection. A company just posted a real revenue beat, and my news-reading system, which looks at the calendar and headlines, leans slightly up for tomorrow, with a range of roughly -0.4% to +0.7%. The bear case: the rally was narrow, with small companies up only 0.27% against the Nasdaq’s 1.05%, oil is near $98, and the numbers-only reader in my system, which ignores headlines completely, stays at neutral with a range of -0.5% to +0.6% and a stress index that keeps a defensive cap on. One earnings report doesn’t make a regime, and I could be wrong about how much weight the yield deserves. The same report that cheered the market also reminds me how many of these AI stories depend on borrowed money, which is where a 5%-plus rate bites hardest.

What I’m watching: whether the 10-year closes above roughly 5.25%, where I’d expect the long-duration names to feel it, and whether credit spreads, the extra interest risky companies pay over safe ones, start widening. Those tend to flinch before stocks do. What would change my mind in the other direction: the 10-year slipping back under 5.10% with more of the field joining in. If that happens, I’ll happily admit the cautious read was too cautious.

Not financial advice. Just someone who has watched a few yield charts go the wrong way.

- That70s Da.

The safe places aren’t safe either

THURSDAY, OCTOBER 22, 2026

Sector rotation usually means money hiding somewhere safer. This fall the shelters are falling too - gold, long bonds, utilities, defense - while health care and energy lead.

Substack | Podcast episode | YouTube | X thread

Every few months money gets up from one set of chairs and sits down in another. People call it sector rotation, and I’ve started watching it closely enough that it gets its own corner here. This is the first one.

The tool is a rotation map. It sorts the market’s sectors by two things: how strong each one is next to the whole market, and whether that strength is speeding up or fading. It reads prices only, never earnings, so it tells you where the money sits and not why it came. You have seen an early sketch of this map here before, the night I asked who was running in front. It has earned a closer look since then.

When stocks wobble, the old playbook says money runs to shelter: gold, long-term government bonds, utilities, the defense companies. This fall I went looking for that run in my data, and the shelters are falling too.

Gold is down 5.2% in a month. Long-term Treasury bonds are down 6.1% over six months. Utilities, the sleepiest corner of the market, are down 9.0% over three months. Defense contractors are down 15.9% over the same stretch. If this were a flight to safety, those would be the winners. They’re among the losers.

So what is winning? Health care is the top sector on the map, up 10.8% over three months and 22.3% over six. Energy is up 10.3% in a month, with oil itself up 8.4%. Staples are leading too. Technology sits at the bottom, with the AI chip makers lagging. Keep in mind that a sector’s spot on the map is an average; underneath, it’s usually a sub-group or two and a handful of companies doing most of the lifting.

The thread that ties it together, I think, is the 10-year Treasury yield at about 5.15%. A higher yield marks down anything whose value is a promise far in the future. Long bonds are exactly that. Utilities trade like bonds. Fast growers are valued on profits years out. Gold pays nothing while you wait. What holds up is money coming in now: oil that sells at today’s higher price, and health care, which people pay for whatever the economy does.

The AI chip group fits that picture. It peaked on June 22 and has been boxed in since July, roughly between 504 and 640 on the fund I watch. The 600 area, its high in May and June, turned it away in August and September. October got to 639 and slipped back. A floor that turns into a ceiling usually means the buyers got tired, at least for now.

My two home-built readers see the same map. The one that reads only numbers sees defensives in front and tech’s long-run strength rolling over. The one that also reads the news thinks energy’s lead is getting old and health care’s is the cleaner move, and it isn’t calling a turn in tech yet.

What I’m watching: chips closing back above that old 600 ceiling, and whether the 10-year eases. Either one would redraw this map fast.

Tomorrow I will point this same habit of asking who is getting paid at the AI build-out itself - a scorecard for which inning we are actually in. And on Saturday, the question this map raises: how much of the money sitting in today’s leaders owns the business, and how much of it is only renting?

Not financial advice.

- That70s Da.

Late in the second inning

FRIDAY, OCTOBER 23, 2026

How I score the innings of the AI build-out: cloud capital spending up 121% against revenue up 24%, suppliers getting paid, and the market paying early for a third inning not yet in the numbers.

Substack | Podcast episode | YouTube | X thread

I keep saying we're late in the second inning of an AI build-out that's making the economy bigger. Fair question: how would I know? Here's the scorecard I use, and why neither the midterms nor the calendar changes it much. Yesterday's piece ended with a promise: the same habit of asking who is getting paid, pointed at the AI build-out itself. Here it is.

The second inning is the building. You can see it in who's getting paid. The big cloud companies have more than doubled their capital spending from a year ago, up 121%, while their own revenue grew 24%. That money lands with the suppliers. The server makers' revenue is up 62%, and analysts raised their next-quarter estimates 36% in ninety days. Memory makers are up 197% on revenue. Data-center networking is up 35%. That's a construction site at full tilt, not one winding down.

Why "late," then? Because the first hard questions have started. The GPU renters, who borrow heavily to buy chips and rent them out, have seen their estimates cut 15% and their shares fall 23% in three months. Power and cooling is still the weakest link, revenue up 18%, and a building site moves at the speed of its slowest trade. And so far the data confirms the cloud spending reaching only one link, the chip designers.

The third inning is when the companies using AI visibly earn more from it. Here's the odd part. The software companies that build on AI are up 39.6% in three months, but analysts have raised their estimates only about 1%. The market is paying for the third inning before the numbers show up. That can work out. It can also be the part that gets marked down first if the numbers are slow to arrive.

Thursday gave that a live test. Meta posted record revenue, up 26%, and the stock still fell 7%: free cash flow swung from positive $10.6 billion a year ago to negative $2.1 billion, the spending guide went up again, and insuring Meta's debt cost a record. The market is not doubting the building. It is starting to ask what the building pays.

That ties back to yesterday's piece, "The safe places aren't safe either" (https://that70sda.substack.com/p/the-safe-places-arent-safe-either): the same 10-year yield that knocked down long-dated promises at 5.15% midweek still hovers at 5% this morning, and it is what makes a third inning bought on faith expensive to hold.

Now the midterms. Elections change moods and, sometimes, the path of rates. They rarely change a data center that's already poured its foundation. The plans behind that 121% were set years out. What the vote can move is the cost of money, and right now the bettors aren't expecting relief: they put 92% on the Fed holding at its October meeting, 7% on a hike, and nothing on a cut.

The year-end lens matters more to me. Microsoft and Alphabet report on October 28 and Amazon on October 29, all before the vote. What I'll listen for is less the quarter than next year's spending plans. If they keep climbing, the

second inning has room. If they flatten while the AI software companies start showing real earnings growth, that’s the third inning starting, and I’d say so.

What would change my mind the other way: the spenders cutting plans while the renters’ estimates keep falling. That’s a rain delay, and they happen. Tomorrow, the companion question: in today’s leading sectors, how much of the money owns the business - and how much is only renting it?

Not financial advice.

Prefer to listen? The audio version is here: https://that70sda.substack.com/p/late-in-the-second-inning-472

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